

Tanker Shipping

Bi-Weekly Industry Report

June 2, 2026

- VLCC Gulf Strength Persists as Atlantic Softens** – The month of May marked a turning point for the VLCC market. **Geopolitical risk** in the Middle East continued to drive extraordinary earnings in the Arabian Gulf, while the Atlantic Basin increasingly reflected **softer freight fundamentals**. This validates our prior view that Atlantic weakness would emerge as vessel supply outpaced cargo demand. By month-end, AG-China earnings stood roughly 3X above WAFR-China and as well as above USG-China, a regional dislocation that remains extraordinary by historical standards. **Sentiment** in the Arabian Gulf and Red Sea stayed dominated by **uncertainty** over US-Iran negotiations and the security of transit through the Strait of Hormuz. **Owners exercised caution** while charterers showed little urgency amid adequate availability and limited fresh enquiry. Strait of Hormuz activity remains a key signal. Outbound crude flows are particularly subdued: only three laden VLCCs transited in the past seven days, carrying an estimated 6 million barrels, against roughly 105 million in a normal week. As VLCC earnings (ex AG) fall below \$100,000/day for the first time in 19 weeks, it is now clear that **earnings are no longer being held up by Middle East disruptions** alone as market balance shifts to oversupply.
- Oil Prices Ease as Expectations for a Piece Deal Soar** – While ongoing US-Iran discussions regarding the Strait of Hormuz have recently pushed oil prices to the bottom of their trading range, market volatility remains high due to geopolitical headline sensitivity. Despite current diplomatic efforts, a full **return to the pre-war status quo in the Strait appears highly unlikely**, which should continue to tighten the global oil market over the coming months. Concurrently, structural shifts are redefining major consumption centers. **China** has considerably eased its oil purchases, **revealing that its recent demand strength was largely an illusion** driven by inventory accumulation rather than organic consumption. With accelerated electrification, aggressive energy conservation, and rapid sustainable energy expansion, China's demand for transportation fuels has essentially plateaued. Consequently, while the current supply shock temporarily masks this profound structural demand shift, any **eventual normalization of global supply** will likely result in a **market balance that is considerably looser** than pre-war levels.
- Our Long-term View** – The tanker market has been recovering from a long period of staggered rates as the growth in new vessel supply shrunk while oil demand remained elevated in line with the global economy. The recent rapid increase in freight rates has led to significant new vessel ordering, with the orderbook now standing at above average levels, and although in the near term such a supply/demand misbalance is small, we expect a meaningful negative balance to develop longer term leading to a potential downcycle.

Short-term Indicators

Momentum: **Negative**
 Sentiment: **Neutral**
 Fundamentals: **Neutral**

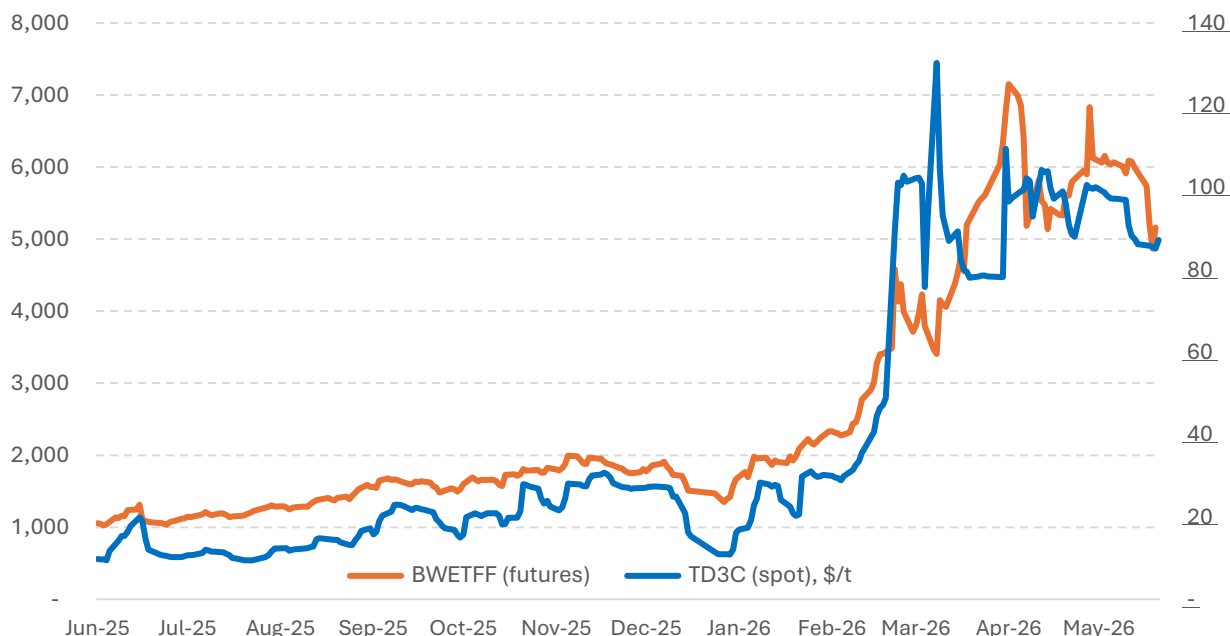
Breakwave Tanker Futures Index: **4971**
 30D: -16.5% ↓
 YTD: 238.4% ↑
 YOY: 353.4% ↑

VLCC Middle East-Asia Spot Rates: **81.18**
 30D: -0.8% ↓
 YTD: 470.2% ↑
 YOY: 634.0% ↑

Reuters: **BWET.K**
 Bloomberg: **BWET US**
 Exchange: **NYSE**

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VLCC Spot Index (TD3C) vs Breakwave Tanker Futures Index (BWETFF)



The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.

Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	106,049 kbpd	0.6%
Oil Supply, OPEC	20,550 kbpd	-24.8%
Oil Supply, non-OPEC	73,836 kbpd	0.7%
OECD Total Crude Oil Stocks	1025.8 MMbbls	-0.4%
US Crude Oil Exports	60.2 MMbbls	-2.0%
China Oil Imports	764.4 MMbbls	3.7%
Global Crude Oil On Water	1218.6 MMbbls	5.5%

Supply

Tanker Fleet	717.8 mdwt	2.9%
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Freight Rates

VLCC Middle East-Asia, USD/ton	62.59	377.7%
Suezmax West Africa-Europe, USD/ton	37.66	128.9%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals

Sources: Bloomberg, IEA, Clarksons and Breakwave Advisors

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